# Canada Bread Company, Limited

2007 ANNUAL REPORT

Canada Bread is a leading manufacturer and distributor of value-added and nutritious fresh bakery products, including breads, rolls, bagels, and artisan breads, as well as sweet goods, prepared sandwiches, and fresh pasta and sauces. Through its fresh and frozen bakery operations, it serves retail stores, in-store bakery departments, and foodservice customers across North America. It also operates one of the largest specialty bakery companies in the United Kingdom.

The Company markets products under a number of leading brands, including *Dempster's, Olivieri, Olafson's, McGavin's, POM, Bon Matin,* and *Ben's.* Organics, prebiotics and other premium nutrition products are marketed under the *WholeGrains, Smart, Ancient Grains,* and *NutriWise* brands. Other key brands include *Wholesome Harvest,* a line of nutritious frozen bakery products and the *New York Bakery Co.* brand in the United Kingdom.

Canada Bread employs more than 8,400 people in Canada, the United States and the United Kingdom. The Company is 88.0% owned by Maple Leaf Foods Inc. and its common shares are listed on the Toronto Stock Exchange under the symbol CBY.

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# message

## MESSAGE TO SHAREHOLDERS

In 2007, the greatest single factor influencing our operations, and those of every baker in the world, was the unprecedented rise in global wheat prices. Depending on variety, we have seen wheat prices more than triple, with no end in sight! While North American and British consumers continue to benefit from the lowest food prices in the industrialized world, it is a fact that higher prices are inevitable as we seek to manage these escalating costs.

However, skyrocketing commodity prices cannot simply be passed on to consumers. The mark of a successful company in these volatile times will be its ability to run the most productive, efficient business it can. To this end, we are also streamlining our business processes and investing in our operations to reduce costs. In 2007 we spent over $86 million in capital to improve our manufacturing and distribution efficiencies and add capacity in high growth markets. This included construction of a new warehouse facility at our major frozen bakery in Roanoke, Virginia, which materially reduced our storage and distribution costs and improved performance in our frozen bakery operations in late 2007. Lower manufacturing costs also improved results in this business, benefiting from initiatives underway to streamline our product offering. Under the new leadership of a highly experienced bakery executive, there will be continued progress over the next two years to realize the true earnings potential of our Frozen Bakery business.

While we manage the bottom line, we have ambitious plans to grow the top line. Broadening our portfolio of higher nutrition products continues to underpin our innovation strategy. Last year we introduced *Dempster's WholeGrains Prebiotic* bread to our lineup of Dempster's products – the first bread available nationally in Canada to incorporate the health benefits of prebiotics. We are also expanding our *Smart* bread banner to include specialty products like bagels and tortillas; delivering the benefit of whole grain flour to consumers who prefer the taste of white. With the majority of our sales volume comprised of premium nutrition choices such as whole grains, organics and specialty breads, we are well positioned to benefit from the continued consumer shift to products that deliver health benefits with great taste and freshness.

In our *Olivieri* fresh pasta and sauce business we are adding new categories and imaginative formats as we go about meeting consumer requirements for great tasting, convenient and exciting meal ideas. This includes an easier-to-use tub format for our pasta and dipping sauces, and new products in our *NutriWise* line of whole wheat filled and flat fresh pastas. While we realized strong sales growth in this business, supported by new plant capacity added in 2006, profitability was impacted in 2007, as price increases lagged the steep rise in durum wheat and cheese costs.

Branching out into new categories is fundamental to accelerating our sales growth. In 2007, we acquired a leading sweet goods manufacturer in Quebec, which provides us the base to expand in this $1.6 billion Canadian market, and where we plan to take our expertise in health and nutrition to the packaged sweet goods category. In early 2008 we also acquired Aliments Martel, a leading Quebec-based sandwich manufacturer. Combined with our existing capabilities, we are now the largest sandwich manufacturing company in Canada, with significant opportunities to grow through innovation.

We are extremely pleased with both our progress and our prospects in the United Kingdom. Through a combination of strong organic growth and acquisitions, we are now one of the leading specialty bakeries in the U.K., supported by eight bakery plants that produce exceptional specialty products, with market leadership in bagels, artisan breads, croissants and in-store bakery products. We are leveraging our manufacturing capabilities to expand sales into continental Europe, which represents an exciting market opportunity for us. There, we see a shift in production methods towards large-scale manufacturing and distribution facilities, exactly the business model we are successfully implementing in the U.K. Our immediate priority is to solidify our network in the United Kingdom, completing the integration that is well underway and expand at a measured and manageable pace.

Looking forward, it is impossible to predict where wheat, dairy and other input costs are headed. While we have a track record of managing input costs through price increases over time, and laser like focus on cost reduction, with the sharp and steep increases experienced over the past year, there is a greater potential impact on short-term earnings. We will manage this responsibly and proactively, as we have done in the past. And we look forward to exciting new growth, driven by a strong commitment to innovation and new category expansion in North America and abroad.

Sincerely,



RICHARD LAN
President and
Chief Executive Officer



MICHAEL McCAIN
Chairman

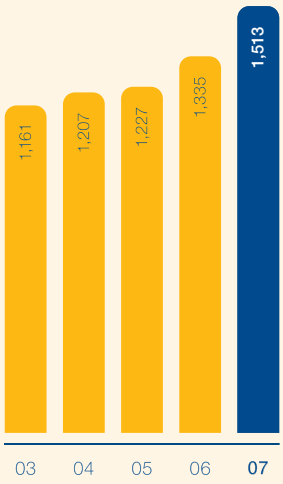
# financial highlights

CANADA BREAD COMPANY, LIMITED

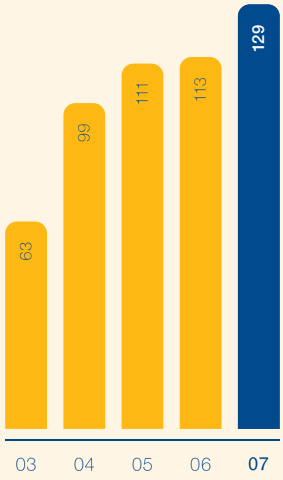
| For years ended December 31 (In millions of Canadian dollars except per share information) | 2007 | 2006 | 2005 | 2004 | 2003 |
|---|---|---|---|---|---|
| **Consolidated results** | | | | | |
| Sales | **1,513** | 1,335 | 1,227 | 1,207 | 1,161 |
| Earnings from operations before restructuring and other related costs | **129** | 113 | 111 | 99 | 63 |
| Net earnings | **84** | 54 | 75 | 67 | 36 |
| **Per share** | | | | | |
| Net earnings | **3.30** | 2.11 | 2.95 | 2.62 | 1.42 |
| Adjusted net earnings[(i)] | **3.31** | 3.09 | 3.07 | 2.62 | 1.61 |
| Dividends | **0.24** | 0.24 | 0.24 | 0.24 | 0.24 |
| Book value[(ii)] | **24.99** | 23.15 | 21.05 | 18.75 | 16.42 |
| **Number of shares (millions)** | | | | | |
| Weighted average | **25.4** | 25.4 | 25.4 | 25.4 | 25.1 |
| Outstanding at December 31 | **25.4** | 25.4 | 25.4 | 25.4 | 25.4 |

(i) Refer to non-GAAP measures on page 3 (Management's Discussion & Analysis) for definition.
(ii) Excludes equity component of long-term debt.

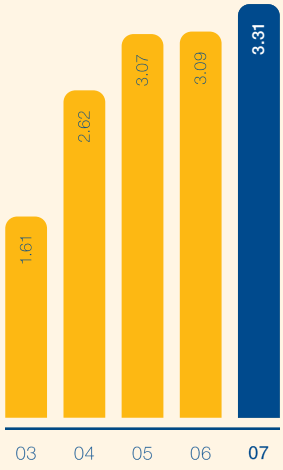
**Sales**
(millions of dollars)




**Earnings from Operations**
Before restructuring and other related costs (millions of dollars)




**Earnings per Share**
Before restructuring and other related costs and non-recurring tax adjustment (dollars)



# Management's Discussion and Analysis

## THE BUSINESS

Canada Bread Company, Limited ("Canada Bread" or "the Company"), 88.0% owned by Maple Leaf Foods Inc. ("Maple Leaf"), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company employs approximately 8,400 people at its operations across North America and in the United Kingdom ("U.K.").

## OVERVIEW

In 2007, earnings from operations before restructuring and other related costs ("Adjusted Operating Earnings")[i] increased by 14.1% to $129.5 million (2006: $113.4 million) and adjusted earnings per share ("Adjusted EPS")[i] increased 7.1% to $3.31 per share (2006: $3.09 per share). All figures are reported in Canadian dollars except as otherwise specified.

## SELECTED FINANCIAL INFORMATION

The following is a summary of audited financial information for the three years ended December 31, 2007:

| (Thousands of dollars except "EPS" information) | 2007 | 2006 | 2005 |
|---|---|---|---|
| Sales | **$ 1,513,179** | $ 1,334,932 | $ 1,227,005 |
| Adjusted Operating Earnings[i] | **129,454** | 113,410 | 111,072 |
| Net earnings | **83,751** | 53,550 | 74,922 |
| Basic EPS | **$ 3.30** | $ 2.11 | $ 2.95 |
| Diluted EPS | **$ 3.30** | $ 2.11 | $ 2.93 |
| Adjusted EPS[i] | **$ 3.31** | $ 3.09 | $ 3.07 |
| Total assets | **998,182** | 924,268 | 761,363 |
| Net debt[i] | **34,061** | 40,661 | 20,927 |
| Return on net assets (RONA)[i] | **11.6%** | 12.0% | 12.3% |
| Cash flow from operations | **122,115** | 106,342 | 115,094 |
| Cash dividends per share | **$ 0.24** | **$ 0.24** | **$ 0.24** |

## NON-GAAP MEASURES

The Company reports its financial results in accordance with Canadian GAAP. However, the Company has included certain non-GAAP financial measures and ratios in this analysis which Management believes provide useful information in measuring the financial performance and financial condition of the Company. These measures do not have a standardized meaning prescribed by Canadian GAAP and therefore, may not be comparable to similarly titled measures presented by other publicly traded companies, nor should they be construed as an alternative to other financial measures determined in accordance with Canadian GAAP.

### a) Adjusted Operating Earnings

"Adjusted Operating Earnings" is defined as earnings from operations before restructuring and other related costs. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs are not representative of continuing operations. Following is a reconciliation of earnings from operations as reported in the Company's financial statements to Adjusted Operating Earnings.

### Operating Earnings Reconciliation

| (Thousands of dollars) | 2007 | 2006 | 2005 |
|---|---|---|---|
| Earnings from Operations, as reported | **$ 124,835** | $ 107,926 | $ 106,349 |
| Restructuring and other related costs | **4,619** | 5,484 | 4,723 |
| Adjusted Operating Earnings | **$ 129,454** | $ 113,410 | $ 111,072 |

(i) Refer to Non-GAAP measures above.

### b) Adjusted EPS

"Adjusted EPS" excludes restructuring and other related costs, net of taxes, and certain non-recurring taxation adjustments. Management believes that this is the most appropriate basis on which to evaluate financial results, as the taxation adjustment and restructuring and other related costs are not representative of continuing operations.

### EPS Reconciliation

| (Per share) | 2007 | 2006 | 2005 |
|---|---|---|---|
| Reported EPS | **$ 3.30** | $ 2.11 | $ 2.95 |
| Restructuring and other related costs, net of tax | **$ 0.12** | $ 0.15 | $ 0.12 |
| Tax benefit from lower future tax rates[i] | **$ (0.11)** | – | – |
| U.S. tax adjustment[ii] | **–** | $ 0.83 | – |
| Adjusted EPS | **$ 3.31** | $ 3.09 | $ 3.07 |

(i) During 2007, the Company recorded a net tax benefit of $2.8 million related to the enactment of lower future tax rates.
(ii) In Q3 2006, the Company recorded a non-recurring tax expense of $21.2 million to write down future tax assets that originated in 2006 and earlier years related to its U.S. frozen bakery business.

### c) Return on Net Assets ("RONA")

RONA is calculated by dividing tax-effected earnings before restructuring and other related costs and before interest by average monthly net assets. Net assets are defined as total assets less cash, future tax assets and non-interest bearing liabilities. Management believes that this is the most appropriate way to reflect financial performance relative to assets employed.

### d) Earnings Before Interest, Tax, Depreciation and Amortization ("EBITDA")

EBITDA is calculated as earnings before restructuring and other related costs and before interest and income taxes plus depreciation and intangible amortization.

### e) Net Debt

Net debt is calculated as long-term debt and bank indebtedness, less cash and net of currency swaps.

### RISING INPUT PRICES

The "food for fuel" initiative sponsored by the U.S. Government has had the result of increasing the demand for grains that are used for ethanol production and diminishing land set aside for other crops such as wheat. Combined with strong demand from export markets and shortfalls in world crops, this has resulted in unprecedented increases in the price of wheat which is a material input into the Company's operations. The scale and speed of wheat price increases in 2007 that have continued in 2008, have materially increased the cost of production in the Company's operations. In addition, the Company experienced inflationary cost increases related to fixed costs in the manufacturing and distribution operations and higher dairy prices that affect the pasta and U.K. croissant product lines. All of these in combination have prompted Management to increase prices significantly and to find ways to improve efficiencies to offset these significant cost increases.

The following table outlines changes in wheat prices that have impacted the Company's business and financial results:

| | At December 31 | Annual Averages | | | |
|---|---|---|---|---|---|
| | 2007 | 2007 | 2006 | Change | 2005 |
| Wheat (USD per bushel)[i] | **$ 10.36** | **$ 6.41** | $ 4.67 | 37.2% | $ 3.55 |

(i) % change in average price calculated using daily close prices (Source: Bloomberg, CBOT)

## RESULTS OF OPERATIONS

The Company achieved solid results in the year despite the continuation of unprecedented rises in commodity prices for flour and dairy. The Company's results reflect its ability to manage this impact through a balanced combination of price increases and manufacturing and distribution efficiency improvements. Frozen Bakery earnings increased as contributions from acquisitions in the U.K. and operational efficiencies in North America positively impacted results. While the Fresh Bakery business balanced price and input costs, results for the year were impacted by the increased investment in marketing initiatives and inflationary costs.

Sales for the year increased 13.3% to $1.5 billion. Excluding acquisitions, sales increased by 5.3% for the year reflecting increased volumes in the U.K. and price increases across all the bakery businesses.

Adjusted Operating Earnings increased by 14.1% to $129.5 million for the year. Price increases in both the Frozen and Fresh Bakery segments offset rising input costs. This combined with improved operational efficiencies and the contribution from acquisitions resulted in favourable results for the year.

Since the beginning of 2008, wheat prices have continued to increase. In order to offset these impacts, further price increases during 2008 will be necessary. The timing of such price increases may not match the increase in wheat prices and other inflationary increases, but over the medium-term the Company expects to recover these increased costs through increased prices and operating efficiencies.

## OPERATING SEGMENTS

The Company's operations are classified into two primary business segments. Fresh Bakery includes fresh bakery products, specialty baked goods, hand-held snacks and fresh pasta and sauces. Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

## OPERATING REVIEW

The following table, which forms the basis of discussion in this document of the Company's results of operations, reflects sales and operating earnings by business group before restructuring and other related costs:

### Sales

| ($ millions) | 2007 | Change | 2006 | Change | 2005 |
|---|---|---|---|---|---|
| **Fresh Bakery** | **945.9** | 5.2% | 898.8 | 5.6% | 851.5 |
| **Frozen Bakery** | **567.3** | 30.1% | 436.1 | 16.1% | 375.5 |
| | **1,513.2** | 13.3% | 1,334.9 | 8.8% | 1,227.0 |

### Adjusted Operating Earnings

| ($ millions) | 2007 | Change | 2006 | Change | 2005 |
|---|---|---|---|---|---|
| **Fresh Bakery** | **88.4** | (5.9%) | 93.9 | 14.6% | 82.0 |
| **Frozen Bakery** | **41.1** | 110.7% | 19.5 | (33.1%) | 29.1 |
| | **129.5** | 14.1% | 113.4 | 2.1% | 111.1 |

### Fresh Bakery

Fresh Bakery sales for the year increased 5.2% to $945.9 million compared to $898.8 million last year, largely due to the benefit of price increases implemented during the year.

Adjusted Operating Earnings in the year decreased by 5.9% to $88.4 million compared to $93.9 million for the year. The business experienced an unprecedented rise in wheat costs that was partially mitigated by forward flour purchases during the year and a weaker U.S. dollar. While the Company was able to secure price increases to offset these rising input costs, increased spend on marketing initiatives, inflationary increases in manufacturing costs and an industry-wide volume decline in the fresh bread category had a negative impact on earnings.

### Frozen Bakery

Frozen Bakery sales increased by 30.1% to $567.3 million for the year. A significant portion of the increase reflected the contribution from acquisitions in the U.K. Organic growth was 5.3% for the year driven by volume growth in the U.K. bagel business and price increases.

Adjusted Operating Earnings for the year increased by 110.7% to $41.1 million from $19.5 million last year, primarily driven by the contribution from acquisitions and operational efficiencies in North America. For the U.K. Bakery operations, the benefits of price increases were not sufficient to offset the impact of higher input costs and investments in promotion and advertising. However, these headwinds were offset by the positive contribution of acquisitions and organic growth in bagel and other specialty bakery categories. During 2007, the U.K. business acquired La Fornaia Ltd. ("La Fornaia"), a specialty Italian baker and, responding to customer needs, invested in new capacity and operational efficiencies across the business. This included installation of a new high speed croissant line at the Maidstone bakery, and increases in cold storage and production capacity at the Rotherham bagel facility. Through these investments, the Company now operates one of the largest specialty bakeries in the U.K.

The North American frozen bakery operations recorded a solid improvement in Adjusted Operating Earnings compared to a low prior year comparative, by increasing volumes and prices to offset input cost increases. It also benefited from improved operating efficiencies, primarily driven by the resolution of operational issues experienced in 2006 at the Roanoke, Virginia facility. The Company also completed a large warehouse expansion at this facility that has optimized storage capacity and reduced third party storage costs and freight.

### Other Income

Other income for the year increased to $0.6 million from $0.4 million in 2006 due primarily to increased gains on sale of property and equipment.

### Restructuring and Other Related Costs

During 2007, the Company recorded $4.6 million in restructuring and other related costs ($3.2 million after-tax) primarily in respect of the closure and decommissioning of its bakery in Langley, British Columbia and the announced closure of a bagel facility in Toronto, Ontario. Also included were some lease termination costs related to the winding down of the fresh waffle business in Ontario.

### Interest Expense

Interest expense was $5.6 million for the year compared to $3.7 million in 2006. The increased interest expense was due to an increase in debt incurred to finance acquisitions in 2006 and 2007. The Company's average effective cost of borrowing for 2007 was approximately 4.8% (2006: 4.0%)

### Income Taxes

Income tax expense decreased to $36.0 million from $51.2 million in 2006 and the Company's effective tax rate decreased from 48.9% in 2006 to 30.1% in 2007. A reconciliation between statutory tax rates and the Company's effective tax rate is set out in Note 16 of the Consolidated Financial Statements. Following is a discussion of certain reconciling amounts:

- During the fourth quarter of 2007, there was a $2.8 million net decrease to future tax liabilities and assets due to income tax rate changes enacted in the quarter.
- During the third quarter of 2006, the Company recorded a tax expense of $21.2 million to write down future tax assets related to its U.S. frozen bakery business. In 2007, a future valuation allowance of $5.7 million was recorded against additional tax losses generated in the year.

### Pension Expense

Pension expense for the year was $10.4 million, consistent with $10.4 million in 2006. Components of pension expense are provided in Note 17 of the Consolidated Financial Statements.

## ACQUISITIONS AND DIVESTITURES

### 2008

On January 29, 2008 the Company acquired the shares of Aliments Martel Inc., a leading manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec, for an initial purchase price of $42.4 million plus contingent consideration of up to $23.0 million based on financial performance over the next three years.

### 2007

On August 17, 2007 the Company acquired La Fornaia, a leading producer of a range of specialty Italian breads such as traditional ciabatta, organic breads and crisp breads for total consideration of £18.9 million ($40.3 million). The Company has allocated £3.7 million ($7.9 million) of the purchase price to the identifiable net assets of La Fornaia at the acquisition date and £15.2 million ($32.4 million) to goodwill. The Company has not yet finalized the purchase price allocation for this acquisition.

On February 26, 2007 the Company acquired 100% ownership in Pâtisserie Chevalier Inc. ("Chevalier") for $8.2 million. Chevalier is a leading producer of single-portion snack cake products in Quebec. The Company has allocated $6.4 million of the purchase price to the identifiable net assets of Chevalier at the acquisition date and $1.8 million to goodwill. As at December 31, 2007 the Company has not yet finalized the purchase price allocation for this acquisition.

### 2006

On November 27, 2006 the Company purchased The French Croissant Company Ltd. ("FCC") and Avance U.K. Limited ("Avance"), two related bakeries in the U.K. for total consideration of £29.2 million ($64.0 million). FCC produces and markets croissants and specialty goods across the U.K., and Avance is a leading supplier of fresh, frozen and long-life specialty bakery items. The Company has completed the purchase price allocation and has allocated $7.5 million to the identifiable net tangible assets of FCC and Avance and $56.5 million to goodwill and intangibles. The acquired intangible assets include $8.8 million of customer relationships that are being amortized on a straight-line basis over their useful lives to a maximum of 25 years.

On March 24, 2006 the Company acquired the assets and operations of Harvestime Limited ("Harvestime"), a bakery in Walsall, England for £1.0 million ($2.0 million). Harvestime is a producer of par-baked breads, rolls and specialty bakery products. As at December 31, 2006 the Company had finalized the purchase price allocation and goodwill of $0.7 million resulting from the transaction has been included in the total assets of the Frozen Bakery segment.

## TRANSACTIONS WITH RELATED PARTIES

On January 2, 2008 Maple Leaf repaid the swap receivable to the Company for net proceeds of $80.6 million.

Maple Leaf provides the Company with certain management services, including treasury, taxation, internal audit, provision of stock awards program, accounting and access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August 1995, the Company paid a management and affiliation fee of $15.8 million to Maple Leaf during 2007 (2006: $8.3 million). The change reflects the increased size of the Company and an increase in the level of services provided by Maple Leaf.

During 2007, the Company received certain information system services from Maple Leaf for a cost of $8.0 million (2006: $6.9 million).

During 2007, the Company received certain engineering services from Maple Leaf for a cost of $0.8 million (2006: $0.8 million).

On October 2, 2006 the Company acquired the shares of Royal Touch Foods Inc. ("Royal Touch"), a pre-packaged sandwich supplier based in Toronto, Ontario for $8.1 million net of cash acquired of $0.8 million. Canada Bread purchased 50% of the Royal Touch shares from Maple Leaf Foods and acquired the remaining shares from an unrelated third party for the same price. During the second quarter of 2007, the purchase price allocation was finalized. The difference between these adjustments and the carrying amount of the investment held by Maple Leaf of $0.1 million is recorded as a reduction in retained earnings in 2007.

## CAPITAL RESOURCES AND LIQUIDITY

The bakery industry is generally characterized by high sales volumes and rapid turnover of inventories and accounts receivable. Investment in working capital is also affected to some extent by fluctuations in the prices of raw materials, seasonal and other market-related fluctuations.

Historically, the Company has consistently generated a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide longer-term funding required for its strategic investing activities.

### Cash Flow from Operations

The Company continued to generate strong operating cash flow in 2007 of $122.1 million compared to $106.3 million last year. The increase resulted from an increase in net earnings.

## Capital Expenditures

Capital spending for the year was $85.7 million compared to $48.0 million last year. Investments in the year included a substantial expansion in capacity at the U.K. bagel and croissant facilities and the construction of a new warehouse at the Company's bakery in Roanoke, Virginia.

## Debt Facilities

To provide additional liquidity, the Company and its subsidiaries had aggregate credit facilities (excluding accounts receivable securitization programs) of $289.8 million (2006: $293.3 million), of which $134.6 million (2006: $116.6 million) was utilized (including $8.8 million in respect of letters of credit) at December 31, 2007 (2006: $9.4 million).

The Company has a $250.0 million revolving term facility with Maple Leaf, maturing on December 27, 2008. In addition, the Company has an operating line of credit of £5.0 million to provide short-term funding for its U.K. operations.

To access competitively priced financing, and to further diversify its funding sources, the Company operates an accounts receivable financing facility. At year end, the Company had $70.0 million (2006: $70.0 million) trade accounts receivable being serviced under this facility. This facility is accounted for as an off-balance sheet transaction under Generally Accepted Accounting Principles.

Details of these facilities are described in Notes 3 and 8 to the Consolidated Financial Statements.

## Contractual Obligations

The following table provides payment information as at December 31, 2007 about certain of the Company's material contractual obligations:

| | | Payments due by fiscal year | | | | | |
|---|---|---|---|---|---|---|---|
| ($ millions) | Total | 2008 | 2009 | 2010 | 2011 | 2012 | After 2012 |
| Long-term debt | 107.6 | 107.6 | – | – | – | – | – |
| Lease obligations | 51.1 | 13.7 | 10.9 | 7.2 | 5.7 | 5.1 | 8.5 |
| Cross-currency swap | (80.6) | (80.6) | – | – | – | – | – |
| Total contractual obligations | 78.1 | 40.7 | 10.9 | 7.2 | 5.7 | 5.1 | 8.5 |

Management is of the opinion that its cash flow and sources of financing provide the Company with sufficient resources to finance ongoing business requirements and its planned capital expenditure program. As at December 31, 2007, the Company was in compliance with all debt covenants. Additional details concerning financing are set out in the Notes to the Consolidated Financial Statements.

## DERIVATIVES

The Company uses derivatives and other non-derivative financial instruments to manage its exposure to changes in interest rates, foreign exchange rates and commodity prices (primarily wheat prices).

The Company manages its exposure to changes in interest rates by using a mix of fixed and variable rate debt and utilizing interest rate swaps as necessary to achieve the desired proportion of variable to fixed-rate debt. As at December 31, 2007, 37.3% (2006: 42.2%) of the Company's exposure to interest rate fluctuations was hedged or fixed.

The Company's foreign exchange risk management includes the use of forward foreign exchange contracts, cross-currency interest rate swaps and foreign-currency denominated debt to reduce exposures related to changes in foreign exchange rates arising from transactions in currencies other than the Canadian dollar.

The Company uses long-term contracts with suppliers and exchange-traded futures and options to reduce price fluctuations in raw material purchases.

All hedging and derivatives activity is governed by risk management policies that specify the type of allowed hedging instrument, maximum exposures and the allowable hedge activity. Maple Leaf Foods, Inc. is counterparty to the Company's non-exchange-traded derivatives.

If the Company had not entered into these contracts, operating earnings for the year would have been lower by $5.7 million (2006: lower by $0.3 million) and interest expense for the year would have been lower by $4.2 million (2006: higher by $3.4 million).

Since January 1, 2007 all derivatives (whether designated in hedging relationships or not) are carried on the balance sheet at fair value unless they are exempt from derivative treatment based upon expected purchase, sale or usage requirements. Derivatives are reported as assets where they have a positive fair value and as liabilities where they have a negative fair value. The accounting for changes in the fair value of a derivative depends on whether it has been designated in a hedging relationship and on the type of hedging relationship. For details on the accounting for these instruments see Note 9 to the Consolidated Financial Statements.

## SHARE CAPITAL AND DIVIDENDS

During 2007 and 2006, the Company declared an aggregate yearly dividend of $0.24 per common share. This represents aggregate dividend payments of $6.1 million in each of 2007 and 2006.

As of February 15, 2008 there were 25,416,812 common shares of the Company issued and outstanding.

## ENVIRONMENT

The Company is committed to maintaining high standards of environmental responsibility and positive relationships in the communities where the company operates. Each of its businesses operates within the framework of an environmental policy entitled "Our Environmental Commitment" that is approved by the Board of Directors' Environment, Health and Safety Committee. The Company's environmental program is monitored on a regular basis by the Committee, including compliance with regulatory requirements, the use of internal environmental specialists and independent, external environmental experts. The Company continues to invest in environmental infrastructure related to water, waste and air emissions to ensure that environmental standards continue to be met or exceeded, while implementing procedures to reduce the impact of operations on the environment. Expenditures related to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company. However, there can be no assurance that certain events will not occur that will cause expenditures related to the environment to be significant and have a material adverse effect on the Company's financial condition or results of operations. Such events could include, but not be limited to, additional environmental regulation or the occurrence of an adverse event at one of the Company's locations.

As a food company, there are health, environmental and social issues that go beyond short-term profitability that Management believe must shape our business if we are to realize a sustainable future. On the environmental front, we are undertaking multiple initiatives in conjunction with key customers to reduce packaging and improve its recyclability, track our greenhouse gas emissions and the miles it takes to produce and deliver food products. Increasingly and importantly, sound environmental practices are becoming a key component of maintaining a competitive advantage. In 2008, we are undertaking a comprehensive planning process to measure our environmental footprint, coordinate cross-company mitigation activities and define our longer-term environmental objectives.

## RISK FACTORS

The Company operates in the food processing sector, and is therefore subject to risks and uncertainties related to these businesses that may have adverse effects on the Company's results of operations and financial position. Some of these risks and uncertainties are outlined below. Prospective investors should carefully review and evaluate the following risk factors together with all of the other information contained in this report. The risk factors described below are not the only risk factors facing the Company. The Company may be subject to risks and uncertainties not described below that the Company is not presently aware of or that the Company may currently deem insignificant.

### Food Safety and Consumer Health

The Company is subject to risks that affect the food industry in general, including risks posed by food spoilage, accidental contamination, product tampering, consumer product liability, and the potential costs and disruptions of a product recall. The Company actively manages these risks by maintaining strict and rigorous controls and processes in its manufacturing facilities and distribution systems and by maintaining prudent levels of insurance.

The Company's facilities are subject to audit by federal health agencies in Canada and similar institutions outside of Canada, and performs its own audits to ensure compliance with its internal standards, which are generally at or higher than regulatory agency standards. However, the Company cannot guarantee that compliance with procedures and regulations will necessarily mitigate the risks related to food safety.

### Standardized and Shared Systems and Processes

In 2006, the Company began a process to standardize core operational and financial processes and supporting systems across the Company as a foundation to establish a multi-functional shared service organization expected to provide lower cost, value-added services for all the Company's business operations. Poor design or execution of these changes, disruptions to and diversions of the Company's management resources or poor implementation of the information technology systems required to support the new structure could result in the project not achieving the objectives in the longer-term and may also negatively impact the Company's performance in the shorter-term. Any of the foregoing could result in a material adverse effect on the Company's financial condition and results of operations.

### Foreign Currencies

A significant amount of the Company's revenues and costs are either denominated in or directly linked to foreign currencies (primarily U.S. dollars). Due to the diversity of the Company's operations, normal fluctuations in other currencies do not generally have a material impact on the Company's profitability in the short-term due to either "natural hedges" and offsetting currency exposures (for example, when revenues and costs are both linked to other currencies) or ability in the near term to change prices of its products to offset adverse currency movements. As a result, currency fluctuations would not normally be considered a material risk to the Company. However, in periods when the Canadian dollar appreciates both rapidly and materially against the U.S. dollar, revenues linked to U.S. dollars are immediately reduced while the Company's ability to change prices or realize on natural hedges may lag the immediate currency changes. The effect of such sudden changes in exchange rates can have a significant impact on the Company's earnings. Over time, the Company reduces this risk by realizing natural hedges, increasing prices, or where possible or necessary, reducing costs. The Company's earnings related to the U.K. may also be affected, adversely or favourably, by foreign currency translation.

### Commodities

The Company is a purchaser of certain commodities, such as wheat and natural gas, in the course of normal operations. Commodity prices are subject to fluctuation and such fluctuations are sometimes severe. The Company may use commodity futures and options for hedging purposes to reduce the effect of changing prices in the short-term but such hedges may not be successful in mitigating this commodity price risk. On a longer-term basis, the Company manages the risk of increases in commodities and other input costs by increasing the price it charges to its customers. Any fluctuations in commodity prices that the Company is unable to properly hedge or mitigate could have a material adverse effect on the Company's financial condition and results of operations.

### Regulation and Legal Matters

The Company's operations are subject to extensive regulation by government agencies in the countries in which it operates, including the Canadian Food Inspection Agency and the Ministry of Agriculture in Canada. These agencies regulate the processing, packaging, storage, distribution, advertising and labelling of the Company's products, including food safety standards. The Company's manufacturing facilities and products are subject to inspection by federal, provincial and local authorities. The Company strives to maintain material compliance with all laws and regulations and maintains all material permits and licences relating to its operations. Nevertheless, there can be no assurance that the Company is in compliance with such laws and regulations or that it will be able to comply with such laws and regulations in the future. Failure by the Company to comply with applicable laws and regulations could subject the Company to civil remedies, including fines, injunctions, recalls or seizures, as well as potential criminal sanctions, which could have a material adverse effect on the Company. Various governments throughout the world are considering regulatory proposals relating to genetically modified organisms, drug residues or food ingredients, food safety and market and environmental regulation that, if adopted, may increase the Company's costs. If any of these or other proposals are enacted, the Company could experience a disruption in supply and may be unable to pass on the cost increases to its customers without incurring volume loss as a result of higher prices.

In the normal course of its operations, the Company becomes involved in various legal actions. The Company believes that the resolution of these claims will not have a material effect on the Company. However, the final outcome with respect to actions outstanding, pending or with respect to future claims cannot be predicted with certainty. Therefore, there can be no assurance that their resolution will not have a material adverse effect on the Company's financial condition or results of operations.

### Environmental Regulation

The Company's operations are subject to extensive environmental laws and regulations pertaining to the discharge of materials into the environment and the handling and disposition of wastes (including solid and hazardous wastes) or otherwise relating to protection of the environment. Failure to comply could have serious consequences, such as criminal as well as civil penalties, liability for damages, and negative publicity to the Company. The Company has incurred and will continue to incur capital and operating expenditures to comply

with such laws and regulations. No assurances can be given that additional environmental issues relating to presently known matters or identified sites or to other matters or sites will not require additional expenditures, or that requirements applicable to the Company will not be altered in ways that will require the Company to incur significant additional costs. In addition, certain of the Company's facilities have been in operation for many years and, over such time, the Company and other prior operators of such facilities may have generated and disposed of wastes which are or may be considered hazardous. Future discovery of previously unknown contamination of property underlying or in the vicinity of the Company's present or former properties or manufacturing facilities and/or waste disposal sites could require the Company to incur material unforeseen expenses. Occurrences of any such events may have a material adverse effect on the Company's financial condition and results of operations.

### Consolidating Customer Environment

As the retail grocery and foodservice trades continue to consolidate and customers grow larger, the Company is required to adjust to changes in purchasing practices and changing customer requirements, as failure to do so could result in losing sales volumes and market share. The Company's net sales and profitability could also be affected by deterioration in the financial condition of, or other adverse developments in the relationship with, one or more of its major customers.

### Consumer Trends

Success of the Company depends in part on the Company's ability to respond to market trends, produce innovative products that anticipate and respond to the changing tastes and dietary habits of consumers. From time to time, certain products are deemed more healthy or less healthy and this can impact consumer buying patterns. For instance, there was a "low carb" trend a number of years ago that, in the short-term, diverted customers away from the Company's pasta products. The Company's failure to anticipate, identify or react to these changes or to innovate our products could result in declining demand for the Company's products, which in turn could cause a material adverse effect on the Company's financial condition and results of operations.

### Employment Matters

The Company and its subsidiaries have approximately 8,400 full and part-time employees, which include salaried and union employees, many of whom are covered by collective agreements. These employees are located in various jurisdictions around the world, each of which with differing employment laws and practices and differing liabilities for employment violations, which may result in punitive or extraordinary damages. While the Company maintains systems and procedures to comply with the applicable requirements, there is a risk that failures or lapses by individual managers could result in a violation or cause of action that could have a material adverse effect on the Company's financial condition and results of operations. Furthermore, if a collective agreement covering a significant number of employees or involving certain key employees were to expire leading to a work stoppage, there can be no assurance that such work stoppage would not have a material adverse effect on the Company's financial condition and results of operations.

## CRITICAL ACCOUNTING ESTIMATES

The preparation of the Company's consolidated financial statements requires Management to make certain estimates and assumptions. The estimates and assumptions are based on the Company's experience combined with Management's understanding of current facts and circumstances. These estimates may differ from actual results, and certain estimates are considered critical as they are both important to reflect the Company's financial position and results of operations and require a significant or complex judgement on the part of Management.

The following is a summary of certain accounting estimates or policies considered critical by the Management of the Company.

### Goodwill and Intangible Valuation

Goodwill is tested for impairment annually in the second quarter and otherwise as required if events occur that indicate that it is more likely than not that the fair value of a reporting unit has been impaired. In performing this test the Company assesses the fair value of its various reporting units. Indefinite life intangibles are tested for impairment annually in the fourth quarter and as required if events occur that indicate that it is more likely than not that the carrying value has been impaired. In testing goodwill and intangibles for impairment in 2007, no impairment was noted.

### Reserve for Bad Debts

The Company establishes an appropriate provision for non-collectible or doubtful accounts. Estimates of recoverable amounts are based on Management's best estimate of a customer's ability to settle its obligations, and actual amounts received may be affected by various factors, including industry conditions and changes in individual customer financial condition.

### Provisions for Inventory

Management makes estimates as to the future customer demand for the Company's products when establishing the appropriate provisions for inventory. In making these estimates we consider the life of the product, the profitability of recent sales of the inventory, and changes in customer mix.

### Trade Merchandise Allowances and Other Trade Discounts

The Company provides for estimated payments to customers based on various trade programs and contracts, which includes payments upon attainment of certain sales volumes. Significant estimates used to determine these liabilities include the level of customer performance and the historical promotional expenditure rate versus contracted rates.

### Employee Benefit Plans

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and Management's best estimate of expected plan investment performance of 7.5%, salary escalation of 3.5%, retirement ages of employees and expected heath care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities.

A 1% change in health care cost trend would not have a significant impact on the year end obligation or the 2007 current service and interest costs.

### Taxes

The provision for income taxes is based on domestic and international statutory income tax rates and tax planning opportunities available to the Company in the jurisdictions in which it operates. Significant judgement is required in determining income tax provisions and in evaluating tax positions. The Company establishes additional provisions for income taxes when, despite the belief that existing tax positions are fully supportable, there remain certain tax positions that may be reviewed and reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances. The tax provision includes the impact of changes to accruals that are considered appropriate.

### Restructuring and Other Related Costs Reserves

The Company evaluates accruals related to restructuring and other related costs at each reporting date to ensure that these accruals are still appropriate. In certain instances, Management may determine that these accruals are no longer required because of efficiencies in carrying out restructuring and other related activities. In certain circumstances, Management may determine that certain accruals are insufficient as new events occur or as additional information is obtained.

## CHANGE IN ACCOUNTING POLICIES

Effective January 1, 2007 the Company adopted the new Canadian accounting standards for financial instruments. The adoption of these new standards requires the Company to present a new balance sheet account called Accumulated Other Comprehensive Income (Loss). This account includes (i) unrealized foreign currency translation adjustments, and (ii) unrealized gains (losses) on cash flow hedges net of tax. On transition, the Company recorded $0.2 million in accumulated unrealized losses related to cash flow hedges as at January 1, 2007. In accordance with the standard $5.3 million, which had previously been classified as unrealized foreign currency adjustment, is now presented within Accumulated Other Comprehensive Loss.

During 2007, the Company recorded other comprehensive loss of $30.8 million, primarily related to fair value changes in cash flow hedges of interest rate exposures offset by changes in unrealized foreign currency translation adjustments. As at the end of the year, the accumulated other comprehensive loss balance was a loss of $36.2 million.

## RECENT ACCOUNTING PRONOUNCEMENTS

### Goodwill and Intangible Assets

In 2008, the CICA issued Handbook Section 3064 ("CICA 3064"), "Goodwill and Intangible Assets". CICA 3064 replaces Section 3062, "Goodwill and Intangible Assets", and Section 3450, "Research and Development Costs". It establishes standards for the recognition, measurement and disclosure of goodwill and intangible assets. This new standard is effective for the Company's interim and annual consolidated financial statements commencing January 1, 2009. The Company is currently assessing the impact of the new standard.

### Inventories

In May 2007, the Canadian Accounting Standards Board issued Handbook Section 3031, "Inventories". The standard introduces changes to the measurement and disclosure of inventory and converges with international accounting standards. The standard is effective for interim and annual periods relating to fiscal years beginning on or after January 1, 2008. The Company does not expect that the adoption of this standard will have a material impact on the financial statements.

### Capital Disclosures

In October 2006, the Canadian Accounting Standards Board issued Section 1535, "Capital Disclosures", which requires entities to disclose qualitative information about their objectives, policies and process for managing capital. This standard is effective for fiscal periods beginning on or after October 1, 2007. The Company does not expect that the adoption of this standard will have a material impact on the financial statements.

### Financial Instruments

In December 2006, the Canadian Accounting Standards Board issued Section 3862, "Financial Instruments Disclosures" and Section 3863, "Financial Instruments – Presentation", which replaces Section 3861, "Financial Instruments – Disclosure and Presentation". The new disclosure standards increase the emphasis on the risks associated with both recognized and unrecognized financial instruments and how those risks are managed. The new presentation standards carry forward the former presentation requirements and are effective for fiscal years beginning on or after October 1, 2007. The Company is currently assessing the impact of the new disclosure standard.

## DISCLOSURE CONTROLS AND INTERNAL CONTROLS OVER FINANCIAL REPORTING

The Company's disclosure controls and procedures were designed to provide reasonable assurance that material information relating to the Company, including its consolidated subsidiaries, is made known to Management in a timely manner so that information required to be disclosed by the Company under securities legislation is recorded, processed, summarized and reported within the time periods specified in applicable securities legislation. The Company's Chief Executive Officer and Chief Financial Officer have evaluated the effectiveness of the Company's disclosure controls and procedures as of December 31, 2007 and have concluded that such disclosure controls and procedures are effective.

The Company's Management, under the direction and supervision of the Chief Executive Officer and Chief Financial Officer, are also responsible for establishing and maintaining internal control over financial reporting. These controls were designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with Canadian GAAP. There have been no changes in the Company's internal control over financial reporting during the year ended December 31, 2007 that have materially affected, or are reasonably likely to materially affect its internal control over financial reporting.

## SUMMARY OF QUARTERLY RESULTS

The following is a summary of unaudited quarterly financial information for the eight interim periods ended December 31, 2007 (in thousands of dollars except per share information):

| | | First Quarter | Second Quarter | Third Quarter | Fourth Quarter | Total |
|---|---|---|---|---|---|---|
| Sales | **2007** | **$ 358,337** | **$ 375,723** | **$ 385,849** | **$ 393,270** | **$ 1,513,179** |
| | 2006 | 301,564 | 335,545 | 342,344 | $ 355,479 | $ 1,334,932 |
| Net earnings | **2007** | **$ 17,910** | **$ 21,225** | **$ 21,087** | **$ 23,529** | **$ 83,751** |
| | 2006 | 19,397 | 22,880 | (2,715) | 13,988 | 53,550 |
| Earnings per Share | | | | | | |
| Basic EPS | **2007** | **$ 0.70** | **$ 0.84** | **$ 0.83** | **$ 0.93** | **$ 3.30** |
| | 2006 | 0.76 | 0.90 | (0.11) | 0.55 | 2.11 |
| Adjusted EPS[1] | **2007** | **$ 0.76** | **$ 0.84** | **$ 0.83** | **$ 0.88** | **$ 3.31** |
| | 2006 | 0.76 | 0.90 | 0.73 | 0.70 | 3.09 |
| Diluted EPS | **2007** | **$ 0.70** | **$ 0.84** | **$ 0.83** | **$ 0.93** | **$ 3.30** |
| | 2006 | 0.76 | 0.90 | (0.11) | 0.55 | 2.11 |

(1) Refer to Non-GAAP measures on Page 2.

For an explanation and analysis of quarterly results, refer to Management's Discussion & Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

## FORWARD-LOOKING STATEMENTS

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates, and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to our objectives and goals, as well as statements with respect to our beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict. Therefore, actual outcomes and results may differ materially from what is expressed, implied or forecasted in such forward-looking statements. The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

These forward-looking statements are based on a variety of factors and assumptions including, but not limited to: the condition of the Canadian and United States economies; the rate of appreciation of the Canadian dollar versus the U.S. dollar; the availability and saleability of prices of raw materials, energy and supplies; product pricing; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; adverse results from ongoing litigation; no expected actions of domestic and foreign governments and the general assumption that none of the risks identified under "Risk Factors" will materialize. These assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party industry analysts.

Actual results may differ materially from those predicted by such forward-looking statements. While the Company does not know what impact any of these differences may have on its business, results of operations, financial condition and the market price of its securities may be materially adversely affected. Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements include, among other things:

- the risks posed by food contamination, consumer liability and product recalls;
- the risks related to the creditworthiness of customers to whom the Company extends credit;
- the Company's exposure to currency exchange risks;
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options;
- the impact of international events on commodity prices and the free flow of goods;
- the risks associated with changes in the Company's shared systems and processes;
- the risks posed by compliance with extensive government regulation;
- the impact of extensive environmental regulation and potential environmental liabilities;
- the risks associated with a consolidating retail environment;
- the risks associated with the Company's outstanding indebtedness;
- the risks associated with complying with differing employment laws and practices globally and the potential for work stoppages due to non-renewal of collective agreements.

The Company cautions you that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" on page 9 of this document. The reader should review such section in detail.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

## Management's Statement of Responsibility

Management recognizes its responsibility for conducting the Company's affairs in the best interests of all its shareholders. The Consolidated Financial Statements and related information in the annual report are the responsibility of management. The Consolidated Financial Statements have been prepared in accordance with Canadian generally accepted accounting principles, which involve the use of judgement and estimates in applying the accounting principles selected. Other financial information in the annual report is consistent with that in the Consolidated Financial Statements.

The Company maintains systems of internal controls, which are designed to provide reasonable assurance that accounting records are reliable and to safeguard the Company's assets. The Company's independent auditors, KPMG LLP, Chartered Accountants, have audited and reported on the Company's Consolidated Financial Statements. Their opinion is based upon audits conducted by them in accordance with Canadian generally accepted auditing standards to obtain reasonable assurance that the Consolidated Financial Statements are free of material misstatement.

The Audit Committee of the Board of Directors, all of whom are independent of the Company or any of its affiliates, meets periodically with the independent external auditors, the internal auditors and management representatives to review the internal accounting controls, the consolidated quarterly and annual financial statements and other financial reporting matters. Both the internal and independent external auditors have unrestricted access to the Audit Committee. The Audit Committee reports its findings and makes recommendations to the Board of Directors.



RICHARD A. LAN
President and
Chief Executive Officer
February 20, 2007



MICHAEL H. VELS
Chief Financial Officer

## Auditors' Report to the Shareholders

We have audited the consolidated balance sheets of Canada Bread Company, Limited as at December 31, 2007 and 2006 and the consolidated statements of earnings, comprehensive income, retained earnings and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2007 and 2006 and the results of its operations and its cash flows for the years then ended in accordance with Canadian generally accepted accounting principles.



Chartered Accountants,
Licensed Public Accountants
Toronto, Canada
February 20, 2008

# financials

CANADA BREAD COMPANY, LIMITED

## Consolidated Balance Sheets

| As at December 31, (In thousands of Canadian dollars) | 2007 | 2006 |
|---|---|---|
| **ASSETS** | | |
| **Current Assets:** | | |
| Cash and cash equivalents | $ 2,847 | $ – |
| Accounts receivable (Note 3) | 68,464 | 57,272 |
| Inventories (Note 4) | 47,036 | 46,081 |
| Future tax asset – current (Note 16) | 5,937 | 5,873 |
| Prepaid expenses | 4,798 | 3,576 |
| Other current assets (Note 9) | 80,586 | – |
| | $ 209,668 | $ 112,802 |
| Property and equipment (Note 5) | 396,623 | 374,647 |
| Goodwill | 371,066 | 372,980 |
| Other long-term assets (Note 6) | 7,955 | 58,115 |
| Future tax asset – non-current (Note 16) | – | 403 |
| Other intangibles (Note 7) | 12,870 | 5,321 |
| | $ 998,182 | $ 924,268 |
| **LIABILITIES AND SHAREHOLDERS' EQUITY** | | |
| **Current Liabilities:** | | |
| Bank indebtedness | $ 9,845 | $ 10,260 |
| Accounts payable and accrued charges | 177,695 | 169,134 |
| Due to Maple Leaf Foods Inc. (Note 18) | 5,408 | 9,336 |
| Dividends payable | 1,525 | 1,525 |
| Income and other taxes payable | 15,078 | 23,336 |
| Current portion of long-term debt (Note 8) | 107,644 | 364 |
| | $ 317,195 | $ 213,955 |
| Long-term debt (Note 8) | 5 | 86,471 |
| Future tax liability – non-current (Note 16) | 33,522 | 29,611 |
| Other long-term liabilities (Note 10) | 12,417 | 5,787 |
| Shareholders' equity (Note 11) | 635,043 | 588,444 |
| | $ 998,182 | $ 924,268 |

Contingencies and commitments (Note 20)
See accompanying Notes to the Consolidated Financial Statements

On behalf of the Board



RICHARD A. LAN
Director



WILLIAM E. AZIZ
Director

## Consolidated Statements of Earnings

| Years ended December 31, (In thousands of Canadian dollars, except share amounts) | 2007 | 2006 |
|---|---|---|
| Sales | $ 1,513,179 | $ 1,334,932 |
| Earnings from operations before restructuring and other related costs | $ 129,454 | $ 113,410 |
| Restructuring and other related costs (Note 13) | (4,619) | (5,484) |
| Earnings from operations | 124,835 | 107,926 |
| Other income (Note 14) | 581 | 432 |
| Earnings before interest and income taxes | 125,416 | 108,358 |
| Interest expense (Note 15) | 5,618 | 3,656 |
| Earnings before income taxes | 119,798 | 104,702 |
| Income taxes (Note 16) | 36,047 | 51,152 |
| Net earnings | $ 83,751 | $ 53,550 |
| Earnings per share – basic (Note 21) | $ 3.30 | $ 2.11 |
| Earnings per share – diluted (Note 21) | $ 3.30 | $ 2.11 |
| Weighted average number of shares (millions) | 25.4 | 25.4 |

See accompanying Notes to the Consolidated Financial Statements

## Consolidated Statements of Retained Earnings

| Years ended December 31, (In thousands of Canadian dollars) | 2007 | 2006 |
|---|---|---|
| Retained earnings, beginning of year | $ 450,733 | $ 406,649 |
| Net earnings | 83,751 | 53,550 |
| Dividends declared ($0.24 per share; 2006: $0.24 per share) | (6,100) | (6,100) |
| Inter-company acquisitions (Note 18) | (57) | (3,366) |
| Retained earnings, end of year | $ 528,327 | $ 450,733 |

## Consolidated Statements of Comprehensive Income

| Years ended December 31, (In thousands of Canadian dollars) | 2007 | 2006 |
|---|---|---|
| Net earnings | $ 83,751 | $ 53,550 |
| Other comprehensive income (loss) (Note 12) | | |
| Change in accumulated foreign currency translation adjustment | (29,290) | 9,628 |
| Change in unrealized derivative loss on cash flow hedges | (1,543) | – |
| | $ (30,833) | $ 9,628 |
| Comprehensive income | $ 52,918 | $ 63,178 |

See accompanying Notes to the Consolidated Financial Statements

# financials

CANADA BREAD COMPANY, LIMITED

## Consolidated Statements of Cash Flows

| Years ended December 31, (In thousands of Canadian dollars) | 2007 | 2006 |
|---|---|---|
| **CASH PROVIDED BY (USED IN):** | | |
| **Operating Activities** | | |
| Net earnings | **$ 83,751** | $ 53,550 |
| Add (deduct) items not affecting cash: | | |
| Depreciation and amortization | **49,612** | 45,010 |
| Future income taxes | **4,374** | 14,028 |
| Gain on sale of property and equipment | **(515)** | (330) |
| Other | **(1,369)** | (1,652) |
| Asset impairments and changes in restructuring and other related costs (Note 13) | **2,002** | 3,527 |
| Change in non-cash operating working capital | **(15,740)** | (7,791) |
| | **122,115** | 106,342 |
| **Financing Activities** | | |
| Dividends paid | **(6,100)** | (6,100) |
| Increase in long-term debt | **20,831** | 6,741 |
| Decrease in long-term debt | **(67)** | (8,565) |
| | **14,664** | (7,924) |
| **Investing Activities** | | |
| Additions to property and equipment | **(85,729)** | (47,998) |
| Proceeds from sale of property and equipment | **922** | 1,744 |
| Purchase of net assets of businesses, net of cash acquired (Note 19) | **(48,865)** | (73,841) |
| Change in intangible assets | **155** | 35 |
| | **(133,517)** | (120,060) |
| Increase (decrease) in cash and cash equivalents | **3,262** | (21,642) |
| Cash and cash equivalents (bank indebtedness), beginning of year | **(10,260)** | 11,382 |
| Cash and cash equivalents (bank indebtedness), end of year | **$ (6,998)** | $ (10,260) |
| Supplemental cash flow information: | | |
| Net interest paid | **$ 5,668** | $ 3,811 |
| Net income taxes paid | **38,668** | 40,914 |

See accompanying notes to the Consolidated Financial Statements

## 1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the bakery industry across North America and in the United Kingdom. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 88.0% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at December 31, 2007.

## 2. SIGNIFICANT ACCOUNTING POLICIES

The following are the significant accounting policies of the Company.

### (a) Principles of consolidation

The consolidated financial statements include the accounts of the Company and its subsidiaries. Investments in associated companies, over which the Company exercises significant influence, are accounted for by the equity method. Investments in equity securities of entities over which the Company does not exert significant influence are accounted for using the cost method or at fair value depending on whether such investments are publicly-traded.

### (b) Use of estimates

The preparation of periodic financial statements necessarily involves the use of estimates. Estimates are used when accounting for items and matters such as allowances for uncollectible accounts, sales of receivables, inventory obsolescence, depreciation and amortization, asset valuations, impairment assessments, employee benefits, pensions, taxes and any corresponding valuation allowances, restructuring and other provisions and contingencies. Should the underlying assumptions change, the actual amounts could differ from those estimates.

### (c) Translation of foreign currencies

The accounts of the Company are presented in Canadian dollars. The financial statements of foreign subsidiaries whose unit of measure is not the Canadian dollar are translated into Canadian dollars using the exchange rate in effect at the year end for assets and liabilities and the average exchange rates for the period for revenue, expenses and cash flows. Exchange gains or losses on translation of foreign subsidiaries are included in the Other Comprehensive Income, a component of shareholders' equity until realized.

### (d) Revenue recognition

The Company recognizes revenues from product sales upon transfer of title to customers. Revenue is recorded at the invoice price for each product net of estimated returns. An estimate of sales incentives provided to customers is also recognized at the time of sale and is classified as a reduction of revenue. Sales incentives include various rebate and promotional programs with the Company's customers. The rebates are primarily based on achievement of specified volume or growth in volume levels.

### (e) Financial instruments

The Company's financial assets and financial liabilities are classified as held for trading, loans and receivables or other financial liabilities. The classification depends on the purpose for which the financial instruments were acquired and their characteristics. Held for trading is the required classification for all derivative financial instruments unless they are specifically designated within an effective hedge relationship. Held for trading financial instruments are measured at fair value with changes in fair value recognized in net earnings in the period in which they arise. Loans and receivables and other financial liabilities are measured at amortized cost.

### (f) Hedge accounting

The Company uses derivatives and other non-derivative financial instruments to manage its exposures to fluctuations in interest rates, foreign exchange rates and commodity prices.

At the inception of a hedging relationship, the Company designates and formally documents the relationship between the hedging instrument and the hedged item, its risk management objective and its strategy for undertaking the hedge. The documentation identifies the specific asset, liability or anticipated cash flows being hedged, the risk that is being hedged, the type of hedging instrument used and how effectiveness will be assessed.

The Company also formally assesses, both at inception and at least quarterly thereafter, whether or not the derivatives that are used in hedging transactions are highly effective in offsetting the changes attributable to the hedged risks in the fair values or cash flows of the hedged items. If a hedge relationship becomes ineffective, it no longer qualifies for hedge accounting and any subsequent change in the fair value of the hedging instrument is recognized in earnings.

When hedge accounting is appropriate, the hedging relationship is designated as a cash flow hedge, a fair value hedge or a hedge of foreign currency exposure of a net investment in a self-sustaining foreign operation.

Effective January 1, 2007, in a cash flow hedge, the change in fair value of the hedging instrument is recorded in other comprehensive income, to the extent it is effective, until the hedged risk affects the consolidated statement of earnings. The Company uses cash flow hedges primarily to convert floating rate borrowings to fixed-rate borrowings.

Effective January 1, 2007, in a fair value hedge, the change in fair value of the hedging derivative is offset in the consolidated statement of earnings by the change in fair value of the hedged item relating to the hedged risk.

Effective January 1, 2007, in a net investment hedge, the change in fair value of the hedging instrument, to the extent effective, is recorded directly in Other Comprehensive Income. These amounts are recognized in income when the corresponding cumulative translation adjustments from self-sustaining foreign operations are recognized in income.

Commencing January 1, 2007, hedge ineffectiveness is measured and recorded in current period earnings in the consolidated statement of earnings. When either a fair value hedge or cash flow hedge is discontinued, any cumulative adjustment to either the hedged item or Other Comprehensive Income is recognized in earnings as the hedged item affects earnings, or when the hedged item is derecognized. If a designated hedge is no longer effective, the associated derivative instrument is subsequently carried at fair value through earnings without any offset from the hedged item.

For all periods presented, changes in the fair value of derivatives that do not qualify for hedge accounting are carried at fair value in the consolidated balance sheet, and subsequent changes in their fair value are recorded in the consolidated statement of earnings.

Prior to January 1, 2007, derivatives that met hedge accounting criteria were accounted for on an accrual basis. Income and expenses on derivative instruments designated and qualifying as hedges were recognized in the consolidated statement of earnings in the same period as the related hedged item. When a hedging relationship was discontinued, the associated derivative instrument was subsequently carried at fair value and any previously deferred income or expenses were carried forward for recognition in the consolidated statement of earnings in the same period as the related hedged item affected earnings. Hedge ineffectiveness was generally recognized in the consolidated statement of earnings over the life of the hedging relationship.

### (g) Inventories

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. Included in the cost of inventory are direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation.

### (h) Property and equipment

Property and equipment are recorded at cost including, where applicable, interest capitalized during the construction or development period. Construction in process assets are capitalized during construction and depreciation commences when the asset is available for use. Depreciation is calculated using the straight-line basis at the following rates, which are based on the expected useful lives of the assets:

| | |
|---|---|
| Buildings | 2.5% to 6% |
| Machinery and equipment | 10% to 33% |

### (i) Financing costs

Costs incurred to obtain long-term debt financing are amortized over the term of such debt and the amount amortized included in interest expense for the year.

### (j) Goodwill and other intangibles

Goodwill is the residual amount that results when the purchase price of an acquired business exceeds the sum of the amounts allocated to the identifiable tangible and intangible assets acquired, less liabilities assumed, based on their fair values. Goodwill is allocated as of the date of the business combination to the Company's reporting units that are expected to benefit from the synergies of the business combination. The Company assigns value to certain acquired identifiable intangible assets, primarily brands, customer relationships and delivery routes. Definite life intangibles are amortized over their estimated useful life. Goodwill is not amortized and is tested for impairment annually in the second quarter and otherwise as required if events occur that indicate that it is more likely than not that the carrying value of the reporting unit has been impaired. Impairment of goodwill is tested at the reporting unit level by comparing the reporting unit's carrying amount to its fair value. Indefinite life intangibles are tested for impairment annually in the fourth quarter and as required if events occur that indicate that it is more likely than not that the carrying value has been impaired. The impairment tests for goodwill and indefinite life intangibles were performed in 2007 and no impairment was identified.

### (k) Income taxes

The Company uses the asset and liability method of accounting for income taxes. Accordingly, future tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of assets and liabilities and their respective tax bases. Future tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on future tax assets and liabilities of a change in tax rates is recognized in income in the year that includes the enactment or substantive enactment date.

### (l) Employee benefit plans

The Company accrues obligations and costs in respect of employee benefit plans. The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and management's best estimate of expected plan investment performance, salary escalation and retirement ages of employees. Changes in these assumptions could affect future pension expense. For the purpose of calculating the expected return on plan assets, those assets are valued at fair value. Past service costs arising from plan amendments are amortized on a straight-line basis over the average remaining service period of employees active at the date of amendment.

Actuarial gains and losses in excess of 10% of the greater of the actuarial liabilities and the market value of assets and all gains and losses due to changes in plan provisions are amortized on a straight line basis over the expected average remaining service period of the active plan members. When a restructuring of a benefit plan gives rise to both a curtailment and settlement of obligations, the curtailment is accounted for prior to the settlement.

### (m) Statement of cash flows

Cash and cash equivalents are defined as cash and short-term securities with maturities less than 90 days at the date of acquisition, less bank indebtedness.

### (n) Accounting changes

Effective January 1, 2007, the Company adopted 3 new financial instrument accounting standards that were issued by the CICA: Handbook Section 1530 "Comprehensive Income", Handbook Section 3855 "Financial Instruments – Recognition and Measurement", and Handbook Section 3865 "Hedges". Comparative amounts for prior periods have not been restated except for the currency translation account, which was reclassified to accumulated other comprehensive income (loss).

The following table summarizes the adjustments required to adopt the new standards on January 1, 2007:

| | | |
|---|---|---|
| Increase in other current assets | $ | 3,369 |
| Increase in future tax asset – long-term | | 85 |
| Increase in other long-term liabilities | | (3,616) |
| Accumulated other comprehensive loss – cash flow hedges | | 162 |

The overall impact to net earnings from the adoption of the new standards for the year was not material.

### (o) Recent accounting pronouncements

In 2008, the CICA issued Handbook Section 3064 ("CICA 3064"), "Goodwill and Intangible Assets". CICA 3064, which replaces Section 3062, "Goodwill and Intangible Assets", and Section 3450, "Research and Development Costs", establishes standards for the recognition, measurement and disclosure of goodwill and intangible assets. This new standard is effective for the Company's interim and annual consolidated financial statements commencing January 1, 2009. The Company is currently assessing the impact the new standard will have on its financial statements.

In May 2007, the Accounting Standards Board issued CICA Handbook Section 3031, "Inventories". The standard introduces changes to the measurement and disclosure of inventory and converges with international accounting standards. The standard is effective for interim and annual periods relating to fiscal years beginning on or after January 1, 2008. The Company does not expect that the adoption of this standard will have a material impact on its financial statements.

In December 2006, the Accounting Standards Board issued CICA Handbook Section 3862, "Financial Instruments – Disclosure" and Section 3863, "Financial Instruments – Presentation" which replaces Section 3861, "Financial Instruments – Disclosure and Presentation". The new disclosure standards increase the emphasis on the risks associated with both recognized and unrecognized financial instruments and how those risks are managed. The new presentation standards carry forward the former presentation requirements and are effective for fiscal years beginning on or after October 1, 2007. The Company is currently assessing the impact the new standard will have on its financial statements.

In October 2006, the Accounting Standards Board issued CICA Handbook Section 1535, "Capital Disclosures", which establishes standards for disclosing information about an entity's capital and how it is managed. The standard is effective for interim and annual financial statements relating to fiscal years beginning on or after October 1, 2007. The Company does not expect that the adoption of this standard will have a material impact on its financial statements.

### (p) Comparative figures

Certain 2006 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2007.

## 3. ACCOUNTS RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and retains limited recourse obligations for delinquent receivables. At December 31, 2007, trade accounts receivable being serviced under this program amounted to $70.0 million (2006: $70.0 million).

## 4. INVENTORIES

| | 2007 | 2006 |
|---|---|---|
| Material held for production | **$ 33,058** | $ 27,579 |
| Finished products | **13,978** | 18,502 |
| | **$ 47,036** | $ 46,081 |

## 5. PROPERTY AND EQUIPMENT

| | 2007 | 2006 |
|---|---|---|
| Land | **$ 25,295** | $ 24,531 |
| Buildings | **159,574** | 152,173 |
| Machinery and equipment | **489,993** | 468,265 |
| Construction in progress | **48,452** | 30,273 |
| | **723,314** | 675,242 |
| Less: Accumulated depreciation | **326,691** | 300,595 |
| | **$ 396,623** | $ 374,647 |

## 6. OTHER LONG-TERM ASSETS

| | 2007 | 2006 |
|---|---|---|
| Cross-currency interest rate swap from Maple Leaf (Note 9) | $ – | $ 56,434 |
| Pension asset (Note 17) | 7,490 | 1,260 |
| Other assets | 465 | 421 |
| | $ 7,955 | $ 58,115 |

The cross-currency interest rate swap is recorded at fair value effective January 1, 2007. Prior to that date the financial impact of currency rate on the cross-currency interest rate swap agreement was recorded as a long-term asset and was included in accumulated other comprehensive income.

## 7. OTHER INTANGIBLES

| | 2007 | 2006 |
|---|---|---|
| Customer relationships (Note 19) | $ 8,424 | $ – |
| Other | 4,446 | 5,321 |
| | $ 12,870 | $ 5,321 |

## 8. LONG-TERM DEBT

| | 2007 | 2006 |
|---|---|---|
| Due to Maple Leaf (a) | $ 107,464 | $ 86,623 |
| Obligations under capital leases | 185 | 212 |
| | 107,649 | 86,835 |
| Less: Current portion | 107,644 | 364 |
| | $ 5 | $ 86,471 |

(a) Canada Bread has a $250.0 million revolving debt facility with Maple Leaf to provide liquidity for general corporate purposes, repayable on December 27, 2008. The facility bears interest based on bankers' acceptance rates for Canadian dollar loans and Libor for U.S. dollar and British pound loans.

Net interest paid to Maple Leaf under these facilities was $1.8 million in 2007 (2006: $0.8 million).

(b) In 2006, the Company established an operating line of credit of £5.0 million ($9.8 million) to provide short-term funding for its U.K. operations. The facility has interest based on Libor rates. As of December 31, 2007, £5.0 million ($9.8 million); (2006: £4.0 million; $9.1 million) was outstanding.

(c) The Company has demand operating facilities of $20.0 million (2006: $21.9 million), which bear interest at short-term rates. At December 31, 2007, $8.4 million (2006: $11.4 million) was utilized under these facilities.

(d) The Company has a demand letter of credit facility of $10.0 million (2006: $10.0 million) of which $8.8 million as at December 31, 2007, (2006: $9.1 million) was utilized.

(e) The Company's weighted average cost of borrowing for 2007 was 4.8% (2006: 4.0%), after adjusting for payments made under swap contracts in place.

Required repayments of long-term debt are as follows:

| | |
|---|---|
| 2008 | $ 107,644 |
| 2009 | 5 |
| Thereafter | – |
| | $ 107,649 |

## 9. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

The Company uses various financial instruments in its operations, including certain components of working capital such as cash and cash equivalents, accounts receivable and accounts payable. Additionally, the Company uses short-term and long-term debt to fund operating requirements and derivative financial instruments including interest rate and cross-currency interest rate swap agreements, foreign currency forwards, and commodity futures and options to manage its interest rate, foreign exchange and commodity price risk.

### Credit risk

The Company's financial assets that are exposed to credit risk consist primarily of cash and cash equivalents, accounts receivable and non-exchange-traded derivatives with positive fair values.

Cash and cash equivalents, are comprised primarily of investments, in deposits with Canadian chartered banks who have investment grade credit ratings. In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and regularly reviews the collectibility of its trade and other accounts receivables in order to mitigate any possible credit losses.

Maple Leaf is the counterparty to all of the Company's non-exchange-traded derivatives contracts.

### Interest rate risk

The Company manages its exposure to changes in interest rates by using a mix of fixed and variable rate debt and utilizing interest rate swaps as necessary to achieve the desired proportion of variable to fixed-rate debt.

The Company uses interest swaps to mitigate the risk from variable cash flows by effectively converting certain variable rate borrowings to fixed-rate borrowings. The notional amounts of these swaps, which are designated and accounted for as cash flow hedges, totalled $70.0 million at December 31, 2007 (2006: $70.0 million) with maturity dates ranging from June 2011 to June 2014. The fixed rates payable by the Company under these contracts range from 5.0% to 5.4%. The floating rates are based on three month bankers' acceptance rates. These swaps had a negative fair value of $2.6 million at December 31, 2007 (2006: negative fair value of $3.6 million) of which $0.2 million was recorded in other current liabilities and $2.4 million in other non-current liabilities at December 31, 2007.

### Foreign exchange risk

The Company uses forward foreign exchange contracts and cross-currency interest rate swaps to manage its exposure to changes in foreign exchange rates arising from transactions and balances in currencies other than Canadian dollar.

The Company uses foreign currency forwards from time to time to hedge a portion of its anticipated foreign currency-denominated transactions. Qualifying foreign currency forward contracts are designated and accounted for as cash flow hedges. As of December 31, 2007, none of the Company's anticipated foreign currency-denominated sales were hedged.

The Company has designated a cross-currency interest rate swap with a notional amount of US$140.0 million as a net investment hedge of the Company's net investment in U.S. operations. The effective portion of the change in fair value of the swap is recorded in shareholders' equity in the foreign currency translation component of Accumulated Other Comprehensive Income and offsets translation adjustments on the underlying net assets of U.S. operations, which also are recorded in accumulated other comprehensive income. The swap matures in January 2008. At December 31, 2007, the fair value of the cross-currency interest rate swap was $80.6 million (2006: $59.8 million) and was recorded in other current assets. The gain on the net investment hedge recorded in Other Comprehensive Income for the period was $24.2 million before taxes in 2007 (2006: $nil).

### Commodity price risk

The Company is exposed to price risk related to forecasted purchases of wheat and other agricultural commodities used as raw materials. The Company uses long-term contracts with suppliers as well as exchange-traded futures and options to manage its exposure to price fluctuations.

The Company has elected to apply the normal purchase and sales classification to certain contracts that are entered into for the purpose of procuring wheat to be used in production within the normal course of business.

The amount of hedge ineffectiveness on all hedges recognized in earnings for the year ended December 31, 2007, was not material.

### Fair value of financial instruments

The carrying value of cash and cash equivalents, accounts receivable and accounts payable approximates their fair values due to the immediate or short-term maturity of these financial instruments. The fair value of long-term indebtedness pursuant to the Company's facilities approximates its carrying value as it bears interest at floating rates.

Effective January 1, 2007, all derivatives are recorded on the consolidated balance sheet at fair value. Prior to 2007, only derivatives that did not qualify for hedge accounting were carried at fair value. The fair values of the Company's derivative financial instruments used to manage exposure to interest rate and foreign exchange risks were estimated using current market measures for interest rates and foreign exchange rates. Commodity futures and options contracts are exchange-traded and fair value was determined based on exchange prices.

The carrying value and fair value of the Company's financial instruments designated as hedges of interest rate and foreign currency exposures as at December 31, 2007 are as follows:

| | Other current assets | Current liabilities | Other long-term liabilities |
|---|---|---|---|
| Cross-currency interest rate swap to hedge the net investment in self-sustaining foreign operations | **$ 80,586** | **$ –** | **$ –** |
| Interest rate swaps to hedge interest rate exposure | **–** | **217** | **2,381** |
| | **$ 80,586** | **$ 217** | **$ 2,381** |

## 10. OTHER LONG-TERM LIABILITIES

| | 2007 | 2006 |
|---|---|---|
| Post-retirement benefit liability (Note 17) | **$ 3,065** | $ 2,864 |
| Pension liability (Note 17) | **4,175** | 170 |
| Other | **5,177** | 2,753 |
| | **$ 12,417** | $ 5,787 |

## 11. SHAREHOLDERS' EQUITY

Shareholders' equity consists of the following:

| | 2007 | 2006 |
|---|---|---|
| Share capital (25,416,812 common shares; (2006: 25,416,812 common shares)) | **$ 142,965** | $ 142,965 |
| Retained earnings | **528,327** | 450,733 |
| Accumulated other comprehensive loss (Note 12) | **(36,249)** | (5,254) |
| | **$ 635,043** | $ 588,444 |

The authorized share capital of the Company consists of an unlimited number of common shares and 25,000 preference shares, issuable in series. As at December 31, 2007 there were no issued and outstanding preference shares.

## 12. ACCUMULATED OTHER COMPREHENSIVE LOSS

Accumulated Other Comprehensive Loss consists of the following:

| | 2007 | 2006 |
|---|---|---|
| Balance at the beginning of the period | **$ (5,254)** | $ (14,882) |
| Transition adjustment as of January 1, 2007 (Note 2(n)) | **(162)** | – |
| Adjusted balance at the beginning of the period | **$ (5,416)** | $ (14,882) |
| Change in accumulated foreign currency translation adjustment[(i)] | **(29,290)** | 9,628 |
| Change in unrealized derivative loss on cash flow hedges – net[(ii)] | **(1,543)** | – |
| Other comprehensive income (loss) for the period | **$ (30,833)** | $ 9,628 |
| Accumulated other comprehensive loss as at December 31 | **$ (36,249)** | $ (5,254) |

(i) Change in accumulated foreign currency translation adjustment is net of taxes of $nil for the 12 months ended December 31, 2007 (2006: $nil).
(ii) Change in unrealized derivative loss on cash flow hedges is net of tax of $1.0 million for the 12 months ended December 31, 2007 (2006: $nil).

The Company estimates that $0.1 million of net derivative losses included in Accumulated Other Comprehensive Loss will be reclassified into net earnings within the next 12 months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the year, a loss of approximately $2.8 million (net of tax of $1.5 million) was released to income from Accumulated Other Comprehensive Loss, which is included in the net change for the period.

## 13. RESTRUCTURING AND OTHER RELATED COSTS

In 2007 the Company recorded restructuring and other related costs of $4.6 million ($3.2 million after-tax) relating primarily to the closure of a fresh bakery plant in British Columbia and the announcement of the closure of a bagel facility in Toronto, Ontario. Also included were lease termination costs related to the winding down of the fresh waffle business in Ontario. In 2006, the Company recorded restructuring and other related costs of $5.5 million ($3.7 million after-tax). The following table provides a summary of the costs recognized and cash payments made in respect of these restructuring and other related initiatives in 2007 and 2006 as well as the related liability:

| | Severance | Site closing | Accelerated depreciation | Retention | Total |
|---|---|---|---|---|---|
| 2006 Restructuring and other related costs | | | | | |
| Charges during fourth quarter | $ 2,525 | $ 1,428 | $ 1,531 | $ – | $ 5,484 |
| Cash payments | – | (67) | – | – | (67) |
| Non-cash items | – | – | (1,531) | – | (1,531) |
| Balance at December 31, 2006 | $ 2,525 | $ 1,361 | $ - | $ – | $ 3,886 |
| Charges during the year | 939 | 1,127 | 2,490 | 63 | 4,619 |
| Cash payments | (642) | (1,679) | – | (8) | (2,329) |
| Non-cash items | – | – | (2,490) | – | (2,490) |
| **Balance at December 31, 2007** | **$ 2,822** | **$ 809** | **$ –** | **$ 55** | **$ 3,686** |

## 14. OTHER INCOME

| | 2007 | 2006 |
|---|---|---|
| Gain on sale of property and equipment | **$ 515** | $ 330 |
| Other | **66** | 102 |
| | **$ 581** | $ 432 |

## 15. INTEREST EXPENSE

| | 2007 | 2006 |
|---|---|---|
| Interest expense on securitized receivables (Note 3) | $ 3,494 | $ 3,170 |
| Interest expense on long-term debt (Note 8) | 1,831 | 803 |
| Other interest expense (income) | 293 | (317) |
| | $ 5,618 | $ 3,656 |

## 16. INCOME TAXES

Income tax expense varies from the amount that would be computed by applying the combined federal and provincial statutory income tax rates as a result of the following:

| | 2007 | 2006 |
|---|---|---|
| Income tax expense according to combined statutory rate of 33.4% (2006: 33.6%) | $ 39,993 | $ 35,153 |
| Increase (decrease) in income taxes resulting from: | | |
| Manufacturing and processing credit | (949) | (735) |
| Rate difference in foreign jurisdictions | (3,942) | (4,510) |
| Non-taxable gains | (73) | (69) |
| Valuation allowance – U.S. tax losses | 5,704 | 21,434 |
| Future tax rate changes | (2,762) | (1,348) |
| Other | (1,924) | 1,227 |
| | $ 36,047 | $ 51,152 |

The tax effects of temporary differences that give rise to significant portions of the future tax assets and future tax liabilities at December 31 are presented below:

| | 2007 | 2006 |
|---|---|---|
| Future tax assets: | | |
| Accrued assets | $ 1,170 | $ 2,524 |
| Investment in subsidiary | 13,028 | 9,901 |
| Losses carry forward | 27,138 | 21,434 |
| Valuation allowance | (27,138) | (21,434) |
| Other | 3,597 | 3,150 |
| | $ 17,795 | $ 15,575 |
| Future tax liabilities: | | |
| Plant and equipment – differences in net book value and undepreciated capital cost | $ 27,357 | $ 27,318 |
| Derivative financial instrument | 13,028 | 9,901 |
| Other | 4,995 | 1,691 |
| | $ 45,380 | $ 38,910 |
| Classified in the consolidated financial statements as: | | |
| Future tax asset – current | $ 5,937 | $ 5,873 |
| Future tax asset – non-current | – | 403 |
| Future tax liability – non-current | (33,522) | (29,611) |
| Net future tax liability | $ (27,585) | $ (23,335) |

In accordance with CICA Handbook Section 3465, "Accounting for Income Taxes", the Company reviews all available positive and negative evidence to evaluate the recoverability of future tax assets. This includes a review of the Company's cumulative losses in recent years, the carry forward period related to the tax losses, and the tax planning strategies available to the Company. Upon applying these accounting rules to the Company's accumulated tax losses in the U.S. frozen bakery business, there continues to be sufficient uncertainty surrounding the timing and amount of losses that will be utilized. Accordingly, during the year the Company recorded an additional valuation allowance of US$5.4 million ($5.7 million) against current year U.S. tax losses and a valuation allowance has been recorded for all the accumulated tax losses in the U.S.

## 17. PENSIONS AND OTHER POST-RETIREMENT BENEFITS

Information about the Company's defined benefit plans as at December 31 is as follows:

| | 2007 | 2006 |
|---|---|---|
| Accrued benefit obligation: | | |
| Balance, beginning of year | **$ 131,133** | $ 124,099 |
| Current service cost | **4,003** | 3,931 |
| Interest cost | **6,669** | 6,242 |
| Benefits paid | **(8,055)** | (8,372) |
| Actuarial (gains) losses | **(9,160)** | 4,246 |
| Employee contributions | **973** | 987 |
| Plan amendments | **2,530** | – |
| Balance, end of year | **$ 128,093** | $ 131,133 |
| Plan assets: | | |
| Fair value, beginning of year | **$ 109,449** | $ 101,032 |
| Actual return on plan assets | **(641)** | 11,966 |
| Employer contributions | **4,892** | 3,836 |
| Employee contributions | **973** | 987 |
| Benefits paid | **(8,055)** | (8,372) |
| Fair value, end of year | **$ 106,618** | $ 109,449 |
| Funded status – plan surplus (deficit) | **$ (21,475)** | $ (21,684) |
| Unamortized transitional amount | **(5,890)** | (6,669) |
| Unamortized actuarial losses | **26,995** | 28,419 |
| Unamortized prior service costs | **3,255** | 931 |
| Net accrued benefit asset, end of year | **$ 2,885** | $ 997 |

Amounts recognized in the consolidated balance sheet consist of:

| | 2007 | 2006 |
|---|---|---|
| Other long-term assets | **$ 7,490** | $ 1,260 |
| Accounts payable and accrued charges | **430** | 93 |
| Other long-term liabilities | **4,175** | 170 |

The pension assets are invested in the following asset categories at December 31:

| | 2007 | 2006 |
|---|---|---|
| Equity securities | **62%** | 61% |
| Debt securities | **38%** | 39% |
| | **100%** | 100% |

The significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations are as follows as of December 31:

| | 2007 | 2006 |
|---|---|---|
| Discount rate used to calculate net benefit plan expense | **5.00%** | 5.00% |
| Discount rates used to calculate year end accrued benefit obligation | **5.25%** | 5.00% |
| Expected long-term rate of return on plan assets | **7.50%** | 7.50% |
| Rate of compensation increase | **3.50%** | 3.50% |

The Company's net benefit plan expense for the year ended December 31 is as follows:

| | 2007 | 2006 |
|---|---|---|
| Current service cost – defined contribution plans | **$ 7,412** | $ 7,237 |
| Current service cost – defined benefit plans | **4,003** | 3,931 |
| Interest cost | **6,669** | 6,242 |
| Actual return on plan assets | **641** | (11,966) |
| Difference between actual and expected return on assets | **(8,731)** | 4,521 |
| Actuarial (gains) losses recognized | **(9,160)** | 4,246 |
| Difference between actual and recognized actuarial (gains) losses in the year | **10,155** | (3,091) |
| Amortization of transitional amount | **(778)** | (778) |
| Difference between prior service costs and actual plan amendments in the year | **(2,324)** | 96 |
| Plan amendments | **2,530** | – |
| Net benefit plan expense | **$ 10,417** | $ 10,438 |

Measurement dates for defined benefit plan obligations and expense:

| | |
|---|---|
| 2007 Expense | December 31, 2006 |
| Balance Sheet | December 31, 2007 |

In addition, the Company has accrued and included in other long-term liabilities $3.1 million (2006: $2.9 million) in respect of post-retirement benefit obligations.

A 1% change in health care cost trend would not have significant impact on the year end obligation or the 2007 current service cost and interest costs.

## 18. RELATED PARTY TRANSACTIONS

Maple Leaf provides the Company with certain management services, including treasury, taxation, internal audit, provision of stock awards program, accounting and access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August 1995, the Company paid a management and affiliation fee of $15.8 million (2006: $8.3 million) to Maple Leaf.

The Company received certain information system services from Maple Leaf for a cost of $8.0 million (2006: $6.9 million).

The Company received certain engineering services from Maple Leaf for a cost of $0.8 million (2006: $0.8 million).

As part of a series of transactions to acquire Royal Touch Foods Inc. ("Royal Touch"), the Company purchased 50% of Royal Touch shares from Maple Leaf for $4.4 million (Note 19). For accounting purposes, this is considered a related party monetary transaction without a substantive change in ownership as Maple Leaf indirectly retains an 88.0% interest in Royal Touch. Accordingly, the Company has recorded the investment in Royal Touch at the carrying amount recorded by Maple Leaf. The difference between the carrying amount and the purchase price amount is equal to $3.4 million and is recorded as a reduction of retained earnings.

## 19. ACQUISITIONS

(a) On August 17, 2007 the Company acquired La Fornaia Ltd. ("La Fornaia") a leading producer of a range of specialty Italian breads such as traditional ciabatta, organic breads and crisp breads for total consideration of £18.9 million ($40.3 million). The Company has allocated £3.7 million ($7.9 million) of the purchase price to the identifiable net assets of La Fornaia at the acquisition date, and £15.2 million ($32.4 million) to goodwill. The Company has not yet finalized the purchase price allocation for this acquisition.

(b) On February 26, 2007 the Company acquired 100% ownership in Pâtisserie Chevalier Inc. ("Chevalier") for $8.2 million. Chevalier is a leading producer of single-portion snack cake products in Quebec. The Company has allocated $6.4 million of the purchase price to the identifiable net assets of Chevalier at the acquisition date, and $1.8 million to goodwill. As at December 31, 2007 the Company had not yet finalized the purchase price allocation for this acquisition.

(c) On November 27, 2006, the Company purchased The French Croissant Company Ltd. ("FCC") and Avance U.K. Limited ("Avance"), two related bakeries in the U.K. for total consideration of £29.2 million ($64.0 million). FCC produces and markets croissants and specialty goods across the U.K., and Avance is a leading supplier of fresh, frozen and long-life specialty bakery items. The Company has completed the purchase equation and has allocated $7.5 million to the identifiable net tangible assets of FCC and Avance and $56.5 million to goodwill and intangibles. The acquired intangible assets include $8.8 million allocated to customer relationships that are being amortized on a straight-line basis over their useful lives to a maximum of 25 years.

(d) On October 2, 2006, the Company acquired the shares of Royal Touch, a pre-packaged sandwich supplier based in Toronto, Ontario, for $8.1 million, net of estimated cash acquired of $0.8 million. The Company purchased 50% of the Royal Touch shares from Maple Leaf and acquired the remaining shares from an unrelated third party for the same price. During 2007, the purchase price was finalized. The difference between these final adjustments and the carrying amount of the investment held by Maple Leaf of $0.1 million is recorded as a reduction in retained earnings in 2007.

(e) On March 24, 2006 the Company acquired the assets and operations of Harvestime Limited ("Harvestime"), a bakery in Walsall, England for £1.0 million ($2.0 million). Harvestime is a producer of par-baked breads, rolls and specialty bakery products. As at December 31, 2006, the Company had finalized the purchase price allocation, and goodwill of $0.7 million resulting from the transaction has been included in the total assets of the Frozen Bakery segment.

Details of net assets acquired and purchase adjustments for 2007 and 2006 are as follows:

| | La Fornaia | Chevalier | Adjustments to 2006 Acquisitions | Total 2007 | Total 2006 |
|---|---|---|---|---|---|
| Cash acquired | $ (25) | $ (15) | $ – | $ (40) | $ 812 |
| Non-cash working capital | 2,349 | 780 | (965) | 2,164 | 36 |
| Property and equipment | 5,953 | 5,827 | (1,696) | 10,084 | 16,035 |
| Other non-current assets | – | 148 | 9,249 | 9,397 | – |
| Non-current future tax liability | 104 | (85) | (2,359) | (2,340) | (44) |
| Other non-current liabilities | (469) | (221) | – | (690) | – |
| Goodwill | 32,419 | 1,787 | (4,013) | 30,193 | 54,448 |
| Retained earnings (Note 18) | – | – | 57 | 57 | 3,366 |
| **Total purchase price** | **$ 40,331** | **$ 8,221** | **$ 273** | **$ 48,825** | **$ 74,653** |

## 20. CONTINGENCIES AND COMMITMENTS

(a) The Company has been named as a defendant in several legal actions and is subject to various risks and contingencies arising in the normal course of business. Management is of the opinion that the outcome of these uncertainties will not have a material adverse effect on the Company's financial position.

(b) In the normal course of business, the Company enters into sales commitments with various customers and suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company certain assets, which have an estimated fair value of $10.5 million (2006: $11.9 million). The Company believes that these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

(c) The Company has operating lease commitments in respect of property and equipment used in operations that require minimum annual payments as follows:

| | | |
|---|---|---|
| 2008 | $ | 13,749 |
| 2009 | | 10,916 |
| 2010 | | 7,170 |
| 2011 | | 5,678 |
| 2012 | | 5,097 |
| Thereafter | | 8,517 |
| | $ | 51,127 |

## 21. EARNINGS PER SHARE

The following table sets forth the calculation of basic and diluted earnings per share:

| | | 2007 | | 2006 |
|---|---|---|---|---|
| Numerator: | | | | |
| Earnings available to common shareholders – basic and diluted | **$** | **83,751** | $ | 53,550 |
| Denominator: | | | | |
| Weighted average common shares outstanding – basic and diluted (in thousands) | | **25,417** | | 25,417 |

| | | 2007 | | 2006 |
|---|---|---|---|---|
| Earnings per share: | | | | |
| Basic | **$** | **3.30** | $ | 2.11 |
| Diluted | | **3.30** | | 2.11 |

## 22. SUBSEQUENT EVENTS

On January 29, 2008 the Company acquired the shares of Aliments Martel Inc., a leading manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec for an initial purchase price of $42.4 million plus contingent consideration of up to $23.0 million based on financial performance over the next three years.

On January 2, 2008, Maple Leaf paid $80.6 million to the Company to settle its obligations under the cross-currency interest rate swap at maturity.

# Notes to the Consolidated Financial Statements

## 23. SEGMENTED FINANCIAL INFORMATION

The Company's operations are classified into the following two primary business segments, which have been used for the operating segment disclosures for all years presented:

(a) Fresh Bakery includes fresh bakery products and specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

| | 2007 | 2006 |
|---|---|---|
| Sales to customers | | |
| Fresh bakery | **$ 945,853** | $ 898,797 |
| Frozen bakery | **567,326** | 436,135 |
| | **$ 1,513,179** | $ 1,334,932 |
| Earnings from operations before restructuring and other related costs | | |
| Fresh bakery | **$ 88,402** | $ 93,928 |
| Frozen bakery | **41,052** | 19,482 |
| | **$ 129,454** | $ 113,410 |
| Capital expenditures | | |
| Fresh bakery | **$ 40,393** | $ 36,109 |
| Frozen bakery | **45,336** | 11,889 |
| | **$ 85,729** | $ 47,998 |
| Depreciation and amortization | | |
| Fresh bakery | **$ 25,683** | $ 23,286 |
| Frozen bakery | **23,929** | 21,724 |
| | **$ 49,612** | $ 45,010 |
| Total assets | | |
| Fresh bakery | **$ 400,518** | $ 378,311 |
| Frozen bakery | **573,772** | 529,360 |
| Non-allocated assets | **23,892** | 16,597 |
| | **$ 998,182** | $ 924,268 |
| Goodwill | | |
| Fresh bakery | **$ 131,256** | $ 128,251 |
| Frozen bakery | **239,810** | 244,729 |
| | **$ 371,066** | $ 372,980 |

# Corporate Information

## DIRECTORS

**Michael H. McCain**
Chairman of the Board

**Richard A. Lan**
President and Chief Executive Officer

**William E. Aziz**
**John L. Bragg O.C.**
**Sarah A. Everett**
**G. Wallace F. McCain O.C.**
**J. Scott McCain**
**John F. Petch**
**Michael H. Vels**

## CORPORATE OFFICE

10 Four Seasons Place
Toronto, Ontario M9B 6H7
Tel: 416-622-2040
www.canadabread.ca

## STOCK EXCHANGE LISTING AND STOCK SYMBOL

The Company's common shares are listed on The Toronto Stock Exchange and trade under the symbol "CBY".

## COMPANY INFORMATION

For public and investor relations inquiries, please call 416-926-2000. Copies of the Company's annual and interim reports, Annual Information Form and other disclosure documents filed with regulatory authorities are available from the Corporate Secretary upon request.
Please contact: 416-926-2000.

## ANNUAL MEETING

The Annual Meeting of the Shareholders of Canada Bread Company, Limited will be held at the Albany Club, 91 King Street East, Toronto, Ontario on Friday, April 25, 2008 at 2:30 p.m.

## AUDITORS

KPMG LLP

## REGISTRAR AND TRANSFER AGENT

Computershare Investor Services Inc.

## SHAREHOLDER INFORMATION

Inquiries regarding dividends, change of address, transfer requirements or lost certificates should be directed to the Company's transfer agent:
Computershare Investor Services Inc.
100 University Avenue, 9th Floor
Toronto, Ontario, M5J 2Y1, Canada
Tel: 514-982-7555 or
1-800-564-6253
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# Canada Bread Company, Limited

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